

Economics 604: Public Finance II

Professor Jonathan Meer

Spring 2014

Subject Matter: This course develops a framework for examining government policies and actions. Conceptual models are used to provide a basis for evaluating and understanding issues such as taxation and government spending. The course is oriented towards creating a basis for future research projects.

Meeting Time: Monday & Wednesday, 11:20-12:35, Allen 1006

Course Materials: Angrist and Pischke, *Mostly Harmless Econometrics: An Empiricist's Companion*

Youtube lectures and notes by Raj Chetty. Links and slide numbers are listed for the relevant lecture. Students will be prepared to discuss the lecture on the day it is listed.

<http://www.rajchetty.com/index.php/lecture-videos>

Subscribe to the weekly NBER working paper bulletin (www.nber.org). Sign up for alerts from the *Journal of Public Economics*

(<http://www.sciencedirect.com/science/journal/00472727>)

Timely articles in both mass-market and academic journals will be assigned.

Additional

Requirements: Visiting the University's writing center is strongly recommended. Attending the PERC seminar on Wednesday afternoons is required.

Office Hours:

By Appointment

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Grading:

Class participation: 25%

Proposal: 25%

Presentation: 20%

Referee report 1: 10%

Referee report 2: 10%

Classmate critique: 10%

Honor Code:

An Aggie does not lie, cheat or steal, or tolerate those who do. Violations of the honor code will result in a grade of 0 on that exam and a referral to the Honor System Office. See <http://aggiehonor.tamu.edu/> for more information. Plagiarism in any form will result in a grade of 0 for the entire course.

ADA:

The Americans with Disabilities Act (ADA) is a federal anti-discrimination statute that provides comprehensive civil rights protection for persons with disabilities. Among other things, this legislation requires that all students with disabilities be guaranteed a learning environment that provides for reasonable accommodation of their disabilities. If you believe you have a disability requiring an accommodation, please contact Disability Services, in Cain Hall, Room B118, or call 845-1637. For additional information, see <http://disability.tamu.edu>.

IMPORTANT DATES AND OTHER INFORMATION

2/5/2014	Proposal topic confirmed
4/23/2014	Proposal due
4/23/2014	In-class presentations
5/1/2014	Classmate critique due

Students will write two referee reports on papers chosen during the semester, as well as writing a similar report on one of their classmates' proposals.

TOPICS

January 13

Introduction

[Chetty Lecture 1](#)

January 15

Partial equilibrium tax incidence

[Tax Incidence \(Topic 2, Part 1\)](#); Slides 50-92

January 20

Martin Luther King, Jr Day

January 22

Tax salience

Amy Finkelstein. "E-Ztax: Tax Salience and Tax Rates." [NBER Working Paper 12924](#); [QJE version](#).

January 27

Identifying tax incidence

[Tax Incidence \(Topic 2, Part 2\)](#); Slides 93-137

Timothy Besley and Harvey Rosen. "[Sales Taxes and Prices: An Empirical Analysis](#)." National Tax Journal.

January 29

General equilibrium incidence

[Tax Incidence \(Topic 2, Part 3\)](#); Slides 138-189

Kevin Hassett and Aparna Mathur. "[Spatial Tax Competition and Domestic Wages](#)."

February 3

General equilibrium incidence

Sandra Black. "[Do Better Schools Matter? Parental Valuation of Elementary Education](#)."

Juan Carlos Suarez Serrato and Owen Zidar. "[Who Benefits from State Corporate Tax Cuts? A Local Labor Markets Approach with Heterogeneous Firms](#)."

February 5

Proposal topic due

[Efficiency Cost of Taxation \(Topic 3, Part 1\)](#); Slides 190-234

February 10

[Efficiency Cost of Taxation \(Topic 3, Part 2\)](#); Slides 190-234

February 12

Principles of taxation

[Optimal Taxation \(Topic 4, Part 1\)](#); Slides 296-327

Matthew Weinzierl. “[The Roots of Our Tax Debates.](#)”

N. Gregory Mankiw and Matthew Weinzierl. “[The Optimal Taxation of Height: A Case Study of Utilitarian Income Distribution.](#)”

February 17

Responses to taxes

Evasion and Avoidance

[Optimal Taxation \(Topic 4, Part 2\)](#); Slides 328-351

Aparna Mathur, Sita Slavov, and Michael Strain. “[Should the Top Marginal Tax Rate be 73 Percent?](#)”

February 19

[Optimal Taxation \(Topic 4, Part 3\)](#); Slides 352-375

Jesse Cunha. “[Testing Paternalism: Cash Versus In-Kind Transfers.](#)”

February 24

Taxation in the United States

Form 1040

February 26

Taxation in the United States

Effective tax rates

March 3

[Income Taxation and Labor Supply \(Topic 5, Part 1\)](#); Slides 376-423

March 5

[Income Taxation and Labor Supply \(Topic 5, Part 2\)](#); Slides 424-494

March 10 / March 12

SPRING BREAK

March 17

[Income Taxation and Labor Supply \(Topic 5, Part 3\)](#); Slides 425-528

March 19

[Income Taxation and Labor Supply \(Topic 5, Part 4\)](#); Slides 529-558

Jon Bakija and Bradley Heim. “[How Does Charitable Giving Respond to Incentives and Income? New Estimates from Panel Data.](#)”

March 24

Wealth and consumption taxes

Value-added taxes

March 26

No Class (reschedule TBA)

March 31

Transfer programs

Hilary Hoynes and Diane Schanzenbach. “[Work Incentives and the Food Stamp Program.](#)”

April 2

Transfer programs

April 7

Federalism and the flypaper effect

Brian Knight. “[Endogenous Federal Grants and Crowd-out of State Government Spending: Theory and Evidence from the Federal Highway Aid Program.](#)”

April 9

Social Security

April 14

Social Security

April 16

Charitable giving

John List. “[The Market for Charitable Giving.](#)”

Charles Clotfelter. “[Charitable Giving and Tax Policy in the U.S.](#)”

April 21

Charitable giving

April 23

Presentations

April 28

Presentations